

CHIEF INVESTMENT OFFICE

# Capital Market Outlook

August 10, 2026

All data, projections and opinions are as of the date of this report and subject to change.

## IN THIS ISSUE

**Macro Strategy—Waiting for the Fed's New Reaction Function:** Federal Reserve (Fed) Chair Kevin Warsh received a lot of criticism after his post-Federal Open Market Committee meeting press conference on July 29. Reporters seemed to think his answers to their questions were contradictory. In particular, they couldn't reconcile his hawkish focus on inflation with his dovish refusal to advocate for a rate increase. In our view, this apparent contradiction is easily resolved by understanding the change Mr. Warsh is likely to implement to the Fed's framework for controlling inflation. Unfortunately, he's unable to divulge that change at this time because it awaits the input of the task forces he has appointed and the buy-in of his colleagues on the Board. In the meantime, the pundits judging him based on the Fed's previous paradigm are likely to remain confused by his hawkish rhetoric and reluctance to raise rates.

This uncertainty over the new reaction function is likely to keep rate markets guessing about monetary policy until it's resolved later in the year. In the meantime, the strong U.S. economy and broadening global growth are generating double-digit earnings increases, propelling global equity markets to new record levels.

**Market View—Market Snippets: The Yen, U.S. Equity Culture and Hyperscalers' Finances:** We examine three market-moving variables: the latest Yen intervention, America's exceptional Equity culture and the ravenous financing needs of Big Technology. First, while the joint U.S./Japan intervention has put a floor under the yen, a more sustained recovery in the currency will ultimately require a more fundamental shift in macroeconomic policy, including higher interest rates in Japan. Government support for the yen hasn't changed the mathematical reality of yields. Second, when it comes to Equity ownership, no one does it like the U.S. The steady flow of household capital helps finance American ingenuity, risk-taking, innovation and future growth—while also lending to the possibility that a bear market on Wall Street can morph into an economic slowdown on Main Street. Third, while it's clear from Q2 earnings season that the Artificial Intelligence (AI) capital expenditures (capex) cycle is intact, hyperscalers' free cash flow is no longer keeping pace with spending estimates, with the companies' reliance on the debt and equity markets expected to increase from here.

**Thought of the Week—A Constructive Reset:** Despite a volatile summer marked by weakness in AI-related leaders, geopolitical uncertainty and shifting Fed expectations, the broader market remained relatively resilient. Beneath the surface, participation has improved as more stocks joined the advance, even while many individual stocks remained below prior highs. The combination of stronger market breadth and a return to record highs suggests the recent market reset may have strengthened the market's foundation rather than weakened it.

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## Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets, and global strategies to capture themes from AI, reindustrialization, infrastructure growth, and market dispersion.

## Waiting for the Fed's New Reaction Function

Chief Investment Office, CIO Macro Strategy Team

Since the first central banks were created in Sweden and England over 300 years ago, economists and bankers have debated the best way to conduct monetary policy. Generally speaking, the debate has been centered around methods that bankers prefer to smooth their lending business and methods that macroeconomics dictate to control inflation. That's because banks' lending business creates money, and too much money creates inflation, as the Fed recently learned again after the pandemic policy surge in the money supply. The money market rate controlled by central banks is also known in some contexts as the bank rate because it's the key interest-rate metric for the banking business, and controlling it in a steady, responsible way has been the accepted method of central banks through the ages. With the advent of fiat money, which is money that's unbacked by a real asset such as gold, inflation control has become a more important priority for central banks. For example, in the 1800s, a debate between what was known as the Currency School versus the Banking School over the appropriate central bank policy reflected these different priorities between smoothing interest rates for banks versus controlling the money supply to limit inflation.

These debates have resurfaced periodically over time. In the 1970s, the monetarist resurgence to stop the double-digit inflation of the times caused the Fed to implement targets for money supply growth that were eventually dropped once money supply growth stabilized and began to subside, bringing inflation down. In the early 1980s, this stricter money supply control resulted in much more volatility in money market rates, which eventually caused the Fed to return to interest rates as its primary tool for conducting policy. Since then, the Fed has ignored the money supply, raising rates to slow inflation and cutting rates to stimulate a weak economy when inflation is low.

Today's financial media understands policy through this simple lens of using interest rates to control inflation. The new task forces on inflation and the balance sheet are likely to focus more attention on the role the money supply plays in creating inflation. Rather than just raising rates to reduce inflation, the new Fed operational framework will likely incorporate methods that help control money more directly than simply changing interest rates. The new approach to controlling inflation could, in other words, not require knee-jerk interest rate hikes to address a strong growing economy as in the past. Seen in this light, the new Fed Chair's reluctance to raise rates is not inconsistent with a tough stance on inflation.

**Does reaction function uncertainty reduce Fed credibility?** Some pundits asserted that this hesitation to raise rates reduces the Fed's credibility for achieving its inflation mandate. For example, after the news conference on July 29, long-term interest rates broke out to the highest level in about two decades. Many assumed the higher rates reflected worries about Mr. Warsh's commitment to addressing inflation. A look at market-based indicators of inflation, however, suggests otherwise. Over the past year, nominal interest rates on Treasury securities with 10- and 30-year maturities have risen, but real yields on Treasury Inflation-Protected Securities on the same maturities have risen a bit more. In short, the inflation component of the nominal yield has not risen over the past year. The dominant movement in long-term yields reflects a rise in real rates, not a rise in inflation worries.

After the 2008/2009 Great Financial Crisis (GFC), private sector credit demand collapsed as households and many businesses deleveraged and worked to clean up their balance sheets. The government helped this process with quantitative easing and zero-interest rate policies that caused government borrowing to soar. The post-pandemic period has seen interest rates normalize to pre-GFC levels. The AI boom to finance data centers has created a surge in private sector demand for long-maturity financing which, coupled with

### Investment Implications

A more pro-growth monetary policy is likely to favor assets that benefit from strong profit growth over more defensive assets that benefit from a sluggish economy with rising credit risks.

big government deficits, has naturally raised the pressure on long-term interest rates. So far, that pressure seems confined to real interest rates with little evidence the boom in AI demand and associated tech price increases have impacted long-term inflation expectations, which remain consistent with a well-anchored outlook.

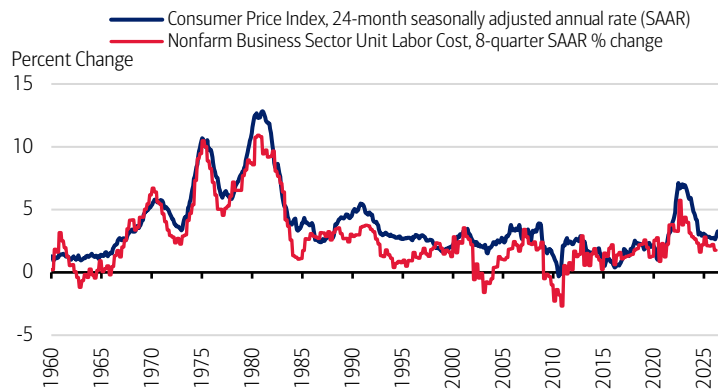
**Despite well-anchored inflation expectations, isn't strong growth raising the risk of higher inflation?** Energy price volatility and booming semiconductor prices have raised concerns that inflation risks have shifted to the upside. Perhaps inflation expectations are too complacent. Yet, fundamental forces still point to strong disinflation pressures despite all the focus on particular price increases. The broadest macro force for inflation normally can be seen in the labor market. For example, as seen in Exhibit 1A, unit labor costs, which adjust wage increases for productivity increases to look at inflation pressure from the labor market, are consistent with 2% inflation despite the flare-up in inflation from recent one-off factors.

In addition, shelter costs are the single biggest component of consumer prices, accounting for about a third of the index. As seen in Exhibit 1B, since inflation and shelter costs peaked after the pandemic-related housing boom, shelter costs have been declining toward pre-pandemic levels. The rise in home prices and mortgage rates has made housing affordability a much bigger barrier for buyers. The likelihood that mortgage rates have "normalized" at a much higher level since the zero-rate era has ended implies the main route to increased affordability is lower house prices or, at least, muted increases. In addition to housing price disinflation, rent disinflation is also helping to bring down shelter costs. Apartment building surged with the pickup in immigration. The sharp slowdown in immigration has left a glut and put downward pressure on rents. Bottom line: Housing fundamentals point to further disinflation in the biggest component of the consumer price index.

All told, rate increases at the long end of the yield curve are consistent with increased credit demand to finance more long-term investments. The rise has occurred in real rates while the inflation component has remained steady, consistent with well-anchored inflation expectations close to the Fed's target. There is little evidence to suggest the new Fed Chairman has changed these relationships despite media analysis to the contrary. Finally, key fundamental factors behind inflation trends, including wage growth, productivity and shelter costs, remain in disinflation trends that suggest the recent pickup in inflation from various supply shocks is noise rather than signal. This suggests the Fed can remain patient rather than rushing to raise rates anytime soon. Tightening policy to restrain growth would seem to be a mistake under these circumstances.

**Exhibit 1: Labor Costs and Housing Dynamics Point to Disinflation Ahead.**

A) Labor costs point to lower inflation ahead.



B) Housing disinflation points to lower inflation.

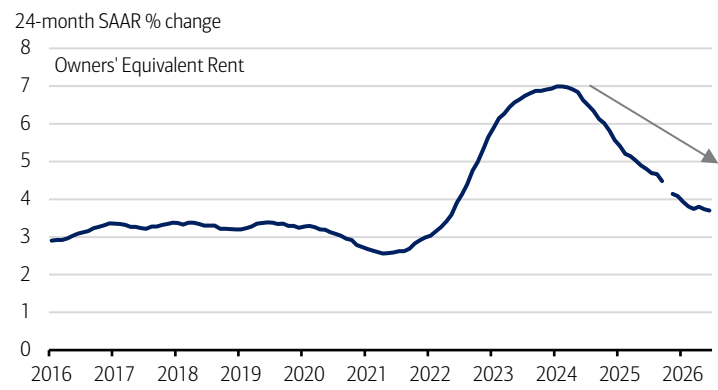


Exhibit 1A) Sources: Bureau of Labor Statistics; Haver Analytics. Data as of July 30, 2026. Exhibit 1B) Sources: Bureau of Labor Statistics; Haver Analytics. Data as of July 14, 2026. Please refer to index definitions at the end of this report.

## Market Snippets: The Yen, U.S. Equity Culture and Hyperscalers' Finances

Joseph P. Quinlan, *Managing Director and Head of Market Strategy*

Ariana Chiu, *Assistant Vice President and Investment Strategist*

This week, we briefly examine three market-moving variables: yen intervention, America's exceptional Equity culture and the ravenous financing needs of Big Technology.

**Keeping the sun from setting on the yen.** It's been quite a while—decades, in fact—since the U.S. and Japan have jointly intervened to support the yen, but in late July, authorities did just that after the currency hit a 40-year low of 163 per dollar.

The reasons for the intervention were manifold but, notably, the move was designed to mitigate the risks to the U.S. Treasury market by preventing Japan from selling massive amounts of U.S. Treasuries. As the world's largest holder of U.S. debt (Exhibit 2A), Japan would typically have to sell Treasuries to defend the yen, with sizable selling having the potential to cause a spike in U.S. bond yields and increased U.S. borrowing costs. To avoid such a scenario, enter the U.S. Treasury, which sold euros, not dollars, in defense of the yen—and U.S. Treasuries. Protecting U.S. export competitiveness, providing regional currency stability, and U.S./Japan diplomatic considerations also played a role in the most recent move to support the yen.

Near-term, while joint intervention has put a floor under the yen, the future path of the yen is dependent on the trajectory of Japan bond yields and monetary expectations in Washington and Tokyo. As Exhibit 2B highlights, the yield gap on U.S. and Japan 2-year government bonds has widened significantly this year, undermining demand for the yen relative to the dollar. On balance, joint intervention has staved off the currency speculators for now; however, government support of the yen has not changed the mathematical reality of yields. A sustained recovery in the yen requires a more fundamental shift in macroeconomic policy, i.e., higher interest rates in Japan, along with lower oil prices and measures to stem the deterioration in fiscal health. Japan's gross public debt-to-gross domestic product ratio is roughly 204%, among the highest ratios in the world. The risk is that absent fundamental changes, market forces will eventually overpower the billions spent on intervention. Stay tuned.

**Born to own: America's Equity culture is exceptional.** Stock markets exist all over the world, but nowhere are equities more embedded in the DNA of a nation than the U.S. Through 401(k)s, Individual Retirement Accounts, pensions, mutual funds, brokerage accounts, employee stock plans, college savings plans and now Trump accounts, tens of millions of U.S. households are directly or indirectly tied to Wall Street. These factors create a durable demand base for U.S. stocks by converting household savings into corporate capital.

Sure, corporate earnings, valuations and interest rates are the primary determinants of asset prices. But so too is America's Equity culture—with a steady flow of household capital helping to finance American ingenuity, risk-taking, innovation and future growth. Markets with deeper Equity cultures tend to enjoy higher levels of liquidity, better corporate governance, greater amounts of risk capital, stronger entrepreneurship, more efficient capital allocation and a larger venture capital ecosystem. As Exhibit 2C underscores, when it comes to equity ownership, there's the U.S. and then the rest of the world. According to the latest data from the Organisation for Economic Co-operation and Development, direct Equity holdings make up 45% of U.S. household financial assets, well ahead of other countries like South Korea (27%), Spain (23%), Japan (16%) and France (10%).

In contrast to America's shareholder society, continental Europe and Japan have traditionally relied on bank financing to allocate capital. In these regions, households have typically held more wealth in bank deposits, government bonds, insurance products and real estate. Meanwhile, China's system is heavily influenced by state-controlled banks, while the primary asset of many Chinese households has traditionally been real estate—a bad bet over the past decade. In many emerging markets, family-controlled conglomerates dominate the capital markets, while households favor property, bank deposits or hard assets like gold.

The downside to America's robust Equity culture is that a bear market on Wall Street can morph into an economic slowdown on Main Street. Bull markets equate to positive wealth effects and more consumer spending, while bear markets have the opposite effect—more

### Investment Implications

Interest rate differentials will ultimately drive the path of the yen. Meanwhile, our overweight to U.S. Equities in portfolios remains supported by durable household participation. We continue to like recipients of capital in the AI race with select potential opportunities across infrastructure, power, robotics, biotechnology and cybersecurity.

fear, and less wealth and spending. In addition, despite America’s exceptional Equity culture, with mass participation, Equity ownership in the U.S. is highly concentrated, with the top 1% of U.S. households owning nearly 50% of U.S. Equities. Hence, the making of America’s K-shaped economy.

**Cash is no longer king for hyperscalers.** The AI capex cycle remains intact—that’s one key lesson of Q2 earnings season, with five hyperscalers reaffirming or upgrading their capex estimates for the year. This cohort is on track to spend nearly \$800 billion on capex in 2026 followed by over \$1 trillion in spend in 2027, according to consensus estimates. Importantly, hyperscalers’ free cash flow, once the primary source of funds for higher capex, is no longer keeping pace with spending estimates and is currently expected to enter slight negative territory this year (Exhibit 2D). Companies previously rich in free cash flow are increasingly reliant on the debt and equity markets to raise capital. Already in 2026, hyperscalers have raised over \$300 billion in debt. We’d expect debt funding to increase through year-end and into 2027.

The good news for now is that capex appears increasingly supported by strong revenue growth among major cloud providers and by multi-year customer commitments to purchase compute. On the capacity side, the supply-demand equation is favorable not just in compute but for the physical equipment required to construct data centers. Several risks still bear watching, however, including the level of hyperscalers’ off-balance sheet debt, the ability of frontier AI labs to meet contracted commitments, efficiency gains and/or competition that weigh on compute prices, and the impact of long grid interconnection queues on data center construction. Also important to watch will be the path of Treasury yields as hyperscalers rely on the debt markets to raise long-term capital.

For investors, we continue to believe that we’re in the early stages of this capital investment cycle. Potential opportunities in infrastructure and power generation should continue to benefit from investment and backlogs. Thematic areas of application like robotics, biotech and cybersecurity remain attractive in our view, as does exposure to basic materials and industrial metals required for the AI buildout.

**Exhibit 2: On the Watchlist: Fundamentals in Japan, Household Equity Exposure, and Hyperscaler Balance Sheets.**

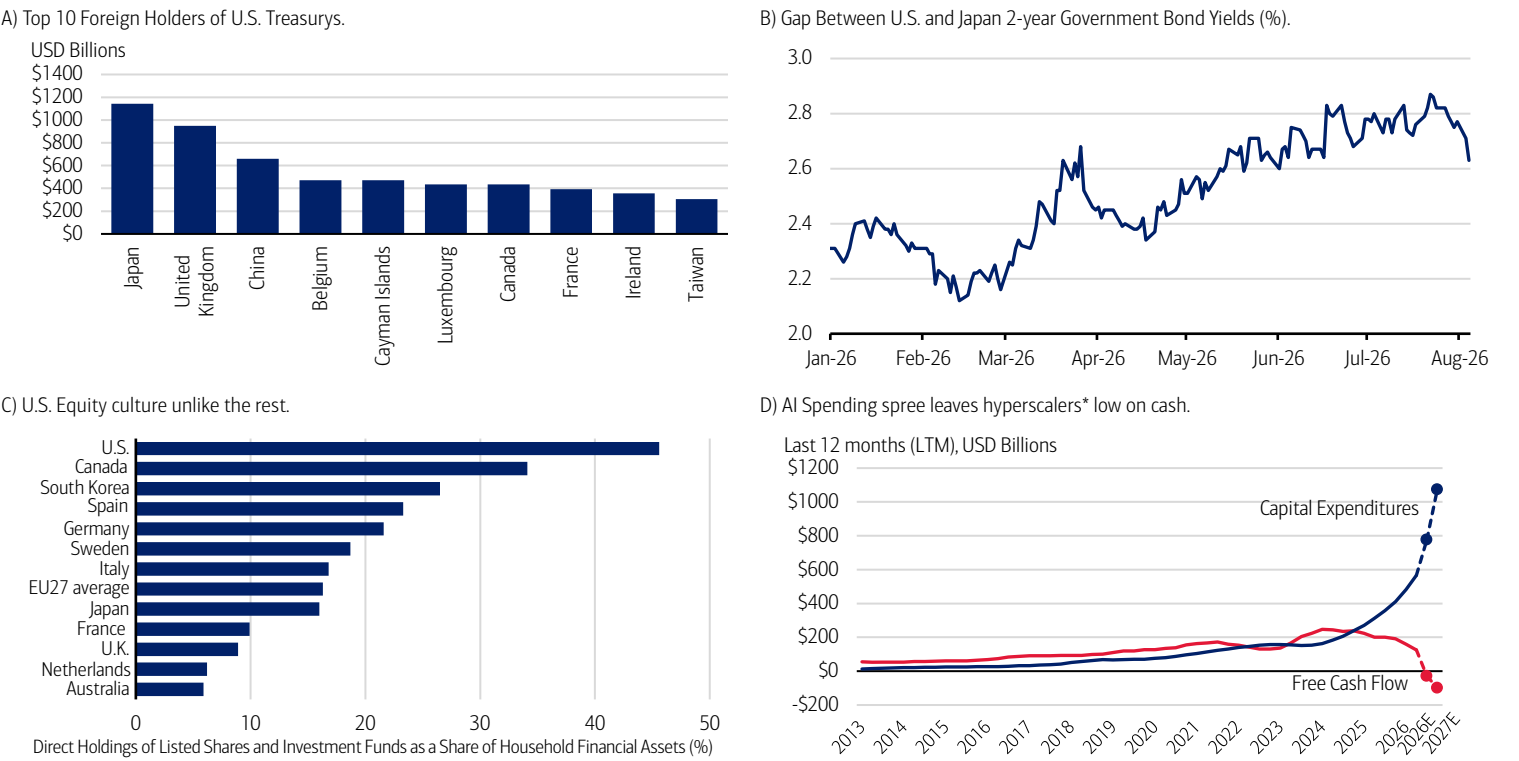


Exhibit 2A) Source: U.S. Treasury. Data as of August 4, 2026. Exhibit 2B) Source: FactSet. Data as of August 6, 2026. Exhibit 2C) Sources: Financial Times; Organisation for Economic Co-operation and Development; Eurostat; Bank of Japan; and Bank of Korea. Data refers to 2025, as of July 26, 2026. E=estimate. Exhibit 2D) \*Amazon, Alphabet, Meta, Microsoft, Oracle. Data includes reported figures through Q2 2026 and full-year 2026 and 2027 Bloomberg consensus estimates in dotted lines. Source: Bloomberg. Data as of August 4, 2026. **Past performance is no guarantee of future results.**

A Constructive Reset

Kirsten Cabacungan, Vice President and Senior Investment Strategist

It has been a volatile summer for stocks. The AI trade came under pressure as investors reassessed the sustainability of massive AI-related spending, while renewed geopolitical tensions and uncertainty surrounding the Fed added to market volatility. Yet despite those challenges, the S&P 500 proved remarkably resilient, finishing July down just 0.1% and remaining largely rangebound since late May, with a maximum drawdown of only 5% (Exhibit 3A). The modest move in the headline index, however, masks a more important story beneath the surface.

While several of the market's former leaders corrected sharply, equity market internals have not broadly deteriorated. The AI-driven rally that carried U.S. Equities higher through the spring became increasingly concentrated, culminating in a sharp rally among AI beneficiaries, particularly in semiconductors, with the Philadelphia Semiconductor Index (SOX) gaining more than 100% between late March and its mid June peak. But as that momentum trade unwound and semiconductors entered a bear market, participation across the broader market quietly improved. The percentage of S&P 500 constituents trading above their 200-day moving average rose from 56% at the start of June to 74% in early August, the highest level in nearly two years (Exhibit 3B). The equal-weighted S&P 500 also recorded 14 new all-time highs since June, while the market-cap-weighted index spent two months below its prior peak.

Importantly, the broadening story is still in its early stages. While the S&P 500 has returned to a record high, the average stock is still recovering. The median constituent remains roughly 11% below its 52-week high, a meaningful improvement from the 22% median level seen at the market's March low but still far from the broad-based exuberance often associated with market peaks. Perhaps the most encouraging aspect of the market's return to all-time highs is that the foundation of the rally appears stronger today than it did at the prior peak, as some of the froth has come off and market breadth has improved.

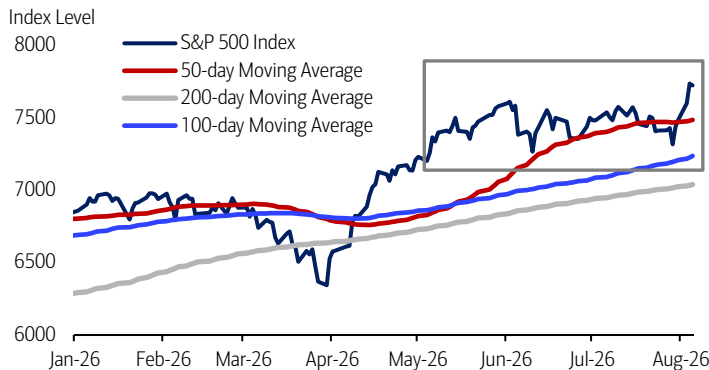
Viewed through that lens, this summer's stagnation appears less like the end of the bull market and more like the reset that may extend it. If earnings growth continues to expand and economic fundamentals remain supportive, there may still be room for more stocks to join the advance. We continue to emphasize diversification in this environment and would view periods of weakness as potential opportunities to rebalance portfolios, particularly toward areas of the market where participation and earnings growth are continuing to broaden beyond traditional Growth leadership.

Investment Implications

We view recent volatility as part of a rolling correction rather than the end of the cycle. Improving market breadth and broadening earnings growth reinforce the importance of maintaining diversified exposure across sectors, styles, and size and geographies.

Exhibit 3: A Stronger Foundation is Forming Beneath the Surface.

A) The S&P 500 remained rangebound despite summer volatility.



B) Market breadth improved during the summer reset.

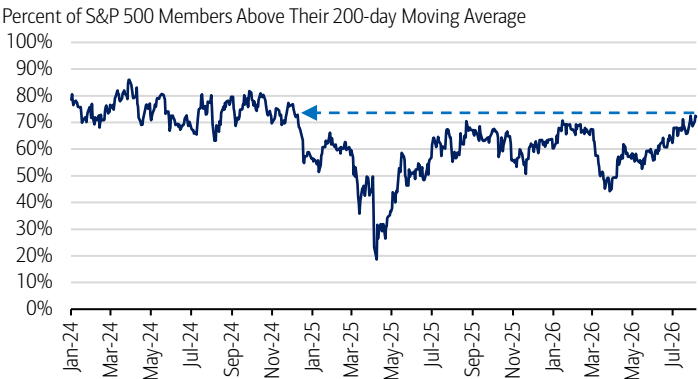


Exhibit 3A) Source: Bloomberg. Data as of August 5, 2026. Exhibit 3B) Source: Bloomberg. Data as of August 5, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.



## MARKETS IN REVIEW

### Equities

| Equities              | Total Return in USD (%) |      |      |      |
|-----------------------|-------------------------|------|------|------|
|                       | Current                 | WTD  | MTD  | YTD  |
| DJIA                  | 54,036.93               | 3.0  | 3.0  | 13.4 |
| NASDAQ                | 26,690.62               | 5.2  | 5.2  | 15.2 |
| S&P 500               | 7,757.64                | 3.6  | 3.6  | 14.1 |
| S&P 400 Mid Cap       | 3,885.57                | 3.4  | 3.4  | 18.4 |
| Russell 2000          | 3,034.49                | 3.5  | 3.5  | 23.1 |
| MSCI World            | 5,007.84                | 3.3  | 3.3  | 13.9 |
| MSCI EAFE             | 3,246.08                | 2.3  | 2.3  | 14.1 |
| MSCI Emerging Markets | 1,657.82                | -0.4 | -0.4 | 19.5 |

### Fixed Income<sup>†</sup>

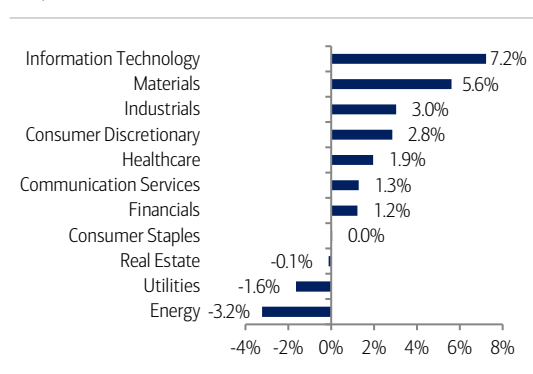
| Fixed Income                 | Total Return in USD (%) |      |      |       |
|------------------------------|-------------------------|------|------|-------|
|                              | Current                 | WTD  | MTD  | YTD   |
| Corporate & Government       | 4.81                    | 0.54 | 0.54 | -0.27 |
| Agencies                     | 4.52                    | 0.35 | 0.35 | 0.60  |
| Municipals                   | 3.83                    | 0.68 | 0.68 | 1.11  |
| U.S. Investment-Grade Credit | 4.90                    | 0.60 | 0.60 | -0.09 |
| International                | 5.38                    | 0.66 | 0.66 | -0.18 |
| High Yield                   | 7.18                    | 0.73 | 0.73 | 2.44  |
| 90 Day Yield                 | 3.79                    | 3.75 | 3.75 | 3.63  |
| 2 Year Yield                 | 4.20                    | 4.29 | 4.29 | 3.47  |
| 10 Year Yield                | 4.65                    | 4.73 | 4.73 | 4.17  |
| 30 Year Yield                | 5.20                    | 5.27 | 5.27 | 4.84  |

### Commodities & Currencies

| Commodities                       | Total Return in USD (%) |      |      |      |
|-----------------------------------|-------------------------|------|------|------|
|                                   | Current                 | WTD  | MTD  | YTD  |
| Bloomberg Commodity               | 339.14                  | -0.2 | -0.2 | 22.8 |
| WTI Crude \$/Barrel <sup>††</sup> | 78.18                   | -7.7 | -7.7 | 36.2 |
| Gold Spot \$/Ounce <sup>††</sup>  | 4341.56                 | 7.3  | 7.3  | 0.5  |

| Currencies | Total Return in USD (%) |                |                 |               |
|------------|-------------------------|----------------|-----------------|---------------|
|            | Current                 | Prior Week End | Prior Month End | 2025 Year End |
| EUR/USD    | 1.16                    | 1.15           | 1.15            | 1.17          |
| USD/JPY    | 157.76                  | 157.40         | 157.40          | 156.71        |
| USD/CNH    | 6.74                    | 6.75           | 6.75            | 6.98          |

### S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 08/03/2026 to 08/07/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 08/07/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

### Economic Forecasts (as of 8/7/2026)

| Economic Forecasts                 | Q1 2026A | Q2 2026A | Q3 2026E | Q4 2026E | 2026E | 2027E |
|------------------------------------|----------|----------|----------|----------|-------|-------|
| Real global GDP (% y/y annualized) | -        | -        | -        | -        | 3.2   | 3.5   |
| Real U.S. GDP (% q/q annualized)   | 2.1      | 1.5      | 2.5      | 2.4      | 2.1   | 2.2   |
| CPI inflation (% y/y)              | 2.7      | 3.8      | 3.2      | 2.9      | 3.2   | 2.0   |
| Core CPI inflation (% y/y)         | 2.5      | 2.7      | 2.4      | 2.5      | 2.5   | 2.5   |
| Unemployment rate (%)              | 4.3      | 4.3      | 4.3      | 4.2      | 4.3   | 4.2   |
| Fed funds rate, end period (%)     | 3.63     | 3.63     | 3.88     | 4.38     | 4.38  | 4.38  |

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/\* = Estimate. Data as of August 7, 2026.

Sources: BofA Global Research; GWIM ISC as of August 7, 2026.

### Asset Class Weightings (as of 8/4/2026)

| Asset Class                      | CIO View    |   |         |   |            |
|----------------------------------|-------------|---|---------|---|------------|
|                                  | Underweight |   | Neutral |   | Overweight |
| Global Equities                  | •           | • | •       | ● | •          |
| U.S. Large-cap Growth            | •           | • | •       | ● | •          |
| U.S. Large-cap Value             | •           | • | •       | ● | •          |
| U.S. Small-cap Growth            | •           | • | •       | ● | •          |
| U.S. Small-cap Value             | •           | • | •       | ● | •          |
| International Developed          | •           | ● | •       | • | •          |
| Emerging Markets                 | •           | • | •       | ● | •          |
| Global Fixed Income              | •           | ● | •       | • | •          |
| U.S. Governments                 | •           | ● | •       | • | •          |
| U.S. Mortgages                   | •           | ● | •       | • | •          |
| U.S. Corporates                  | •           | ● | •       | • | •          |
| International Fixed Income       | •           | ● | •       | • | •          |
| High Yield                       | •           | ● | •       | • | •          |
| U.S. Investment-grade Tax Exempt | •           | ● | •       | • | •          |
| U.S. High Yield Tax Exempt       | •           | ● | •       | • | •          |
| Alternative Investments*         |             |   |         |   |            |
| Hedge Strategies                 |             |   |         |   |            |
| Private Equity                   |             |   |         |   |            |
| Private Credit                   |             |   |         |   |            |
| Real Assets                      |             |   |         |   |            |
| Cash                             |             |   |         |   |            |

\* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of August 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

### CIO Equity Sector Views

| Sector                 | CIO View    |   |         |   |            |
|------------------------|-------------|---|---------|---|------------|
|                        | Underweight |   | Neutral |   | Overweight |
| Industrials            | •           | • | •       | ● | •          |
| Consumer Discretionary | •           | • | •       | ● | •          |
| Financials             | •           | • | •       | ● | •          |
| Information Technology | •           | • | ●       | • | •          |
| Energy                 | •           | • | ●       | • | •          |
| Materials              | •           | • | ●       | • | •          |
| Utilities              | •           | • | ●       | • | •          |
| Healthcare             | •           | • | ●       | • | •          |
| Communication Services | •           | ● | •       | • | •          |
| Real Estate            | •           | ● | •       | • | •          |
| Consumer Staples       | •           | ● | •       | • | •          |

# Index Definitions

**Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.**

**S&P 500 Index** is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

**Consumer Price Index** is an official measure of the average change over time in prices paid by urban consumers for a market basket of everyday goods and services.

**Philadelphia Semiconductor Index** is a market-cap-weighted index focusing on 30 leading semiconductor firms, offering insights into the tech market.

**S&P 500 Equal-Weighted Index** is the equal-weight version of the widely-used S&P 500. The index includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

**S&P 500 Market-cap-Weighted Index** is a capitalization-weighted index ranks stocks based on market capitalization, giving larger companies more influence, such as the S&P 500.

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Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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